

Conference call notes: Xi-Trump Summit Preview

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Conference Call Note

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Xi-Trump Summit Preview

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The summit is "low yield" but symbolically important: expect tariff reductions on \$30B of goods per side, a refreshed AI dialogue with little substance, and a commitment to reconvene at APEC (Shenzhen, November) and the G20 (Miami, December).

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The Busan truce extending past November 10 is likely, but the US wants only a six-month extension to maintain leverage on rare earths; China wants a full-term extension to lock in stability ahead of the 21st Party Congress.

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AI is the dominant long-term wildcard: Eurasia Group recently raised odds of a major bilateral pothole before year-end from 20% to 30%, driven primarily by accelerating AI developments since the last summit.

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Speakers:

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David Meale, China Practice Head, Eurasia Group

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Gerard DiPippo, Director of Global Macro, Eurasia Group

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Dominic Chiu, Senior Analyst, China and Northeast Asia, Eurasia Group (Moderator)

Summit Optics and Chinese Strategic Posture

China enters this summit seeking to institutionalize what it calls "constructive strategic stability" — a sustained, calm relationship with the US for the remainder of Trump's term. Beijing views frequent

leader-level contact as the mechanism to prevent miscalculation, and the summit's pageantry matters: Trump meeting Xi at the airport is read by the Chinese side as a significant gesture of reciprocity.

China is in a stability-seeking mode ahead of the 21st Party Congress next year. Officials were explicit in private meetings last week: they want predictability, not surprises. They view Trump as pragmatic and in command, but also erratic — hence the push for institutionalized dialogue channels rather than reliance on personal chemistry alone.

The two leaders are expected to commit to two more summits: APEC in Shenzhen in November and the G20 in Miami in December. The Chinese framing, consistent for months, is that leader meetings come as a package — zero or two — and they are holding to that.

Economic Deliverables: Modest and Carefully Managed

The Board of Trade will deliver tariff reductions on \$30 billion of goods per side — roughly 10% of bilateral trade — focused on US agricultural and energy exports to China and non-sensitive Chinese industrial imports to the US. This is the one channel that has demonstrably functioned.

The AI dialogue launches in name only. Both sides pledged an "early warning system" on AI risks, but one unnamed US administration official described it as "technically a bunch of bs." Who sits in the room and what the agenda will be remain unresolved; substantive progress is expected only after the US midterms.

The Board of Investment is effectively stalled. A CEO delegation with Xi appears to have fallen through. Movement on Chinese investment in US autos and biotech linkages is unlikely before the midterms, given political resistance from industry, sectors, and Capitol Hill.

The Busan Truce and Rare Earths

The Busan truce — in place since October 2025 — expires November 10. Both sides will extend it, but terms are contested. The US wants a six-month extension; China wants one covering the rest of Trump's term. The US position reflects frustration: China's rare earth exports to the US have not recovered to pre-truce levels, while exports to the rest of the world have. MOFCOM is managing general licenses in a way that maps out the entire demand and supply chain, positioning China to re-weaponize rare earths with faster impact if it chooses. The White House views a shorter extension as leverage; the analytical view on the call was that this logic is not fully credible if China is already not meeting its commitments.

Geopolitical Risks: Taiwan and Iran

On Taiwan, the Chinese are alarmed by signals that the Trump administration may resume a \$14 billion arms sale. The speaker's read is that this may be a pre-summit pressure tactic rather than a firm policy direction, and that Trump will be quickly disabused of any impulse to move there. The more likely

scenario is smaller arms sales announced after APEC in November.

The structural risk on Taiwan rises post-2028. A fourth consecutive DPP (Democratic Progressive Party) win in the 2028 Taiwan election, combined with a more hawkish US president, could lead Beijing to conclude that peaceful reunification through political evolution is off the table — raising the probability of coercive steps short of invasion, including potential blockade-type actions. This is not assessed as a near-term risk.

On Iran, Chinese frustration with Treasury Secretary Bessent's sanctions push is significant. China's position on sanctions has not changed: only UN-authorized sanctions carry legitimacy. Private pushback will be firm.

Medium-Term Outlook: Managed Decoupling as Base Case

Eurasia Group's five-year base case through 2031 is "managed decoupling" — incremental, not directly escalatory, but structurally persistent. The upside scenario (a genuine change of heart on de-risking) is assessed as "fairly improbable." The downside is a rupture, which both speakers agreed is only truly possible over Taiwan.

The post-Trump outlook is notably more cautious. Regardless of which party wins in 2028, the next administration is expected to be more hawkish on China than Trump, who is assessed as uniquely transactional and personally respectful of Xi. The hawks within the current administration have been "suppressed," a condition that will not carry over.

Current bilateral relations are described as "probably as close to as good as they're going to get."

Key Watch Items

1.

Busan truce extension terms — whether it is extended at the summit or closer to the November 10 deadline, and for how long (six months vs. full-term)

2.

Rare earth export approvals — whether China accelerates MOFCOM processing and resumes flows to the US at expected levels

3.

Taiwan arms sales — any announcement of a resumed sale, particularly in the window between APEC and the end of 2026

4.

AI incidents and cross-border vulnerabilities — uncontrolled incidents (e.g., the WeChat and Hugging Face precedents) that could recast the bilateral relationship rapidly

5.

Section 301 tariff announcements — USTR expected to announce ~7.5% tariffs on Chinese overcapacity goods after the summit; any figure above 7.5% would require Chinese retaliation

6.

2028 Taiwan election campaign dynamics — rhetoric and US weapons sale timing in the 2027–2028 window as a leading indicator of post-Party Congress risk

What Clients Are Asking

Rare earths and the Busan truce: Clients focused on whether rare earth flows will normalize. The answer is no — China is deliberately managing export licenses to maintain leverage, and the US push for a six-month-only truce extension reflects this frustration directly.

Taiwan blockade risk: Clients asked whether Chinese Coast Guard activity around Taiwan could escalate into a blockade. Speakers assessed this as not a near-term concern, but flagged it as a rising risk post-2028 if the political trajectory (DPP win, hawkish US president) forecloses Beijing's preferred scenarios.

Final two years of Trump's term: Clients probed whether Democratic midterm gains would worsen US-China relations. Speakers expect Democrats to use convening power for hearings and investigations, generating steady rhetorical pressure, but assessed Trump's executive authority on foreign policy as insulating the bilateral relationship from major deterioration — with AI the key caveat that could override that baseline.

AI pacing and export controls: Clients asked about Xi's position on slowing AI development and the Rand Corporation's deterrence framework. Speakers were clear: neither government supports pacing. Beijing views it as a US conspiracy to suppress Chinese AI; the Trump White House has publicly condemned proponents. Export control pressure from Congress (including a Chuck Schumer press conference the day of the call) is building, but Trump personally remains opposed.

Structural durability of US restrictions on Chinese EVs, batteries, robotics: Clients asked whether these restrictions will persist regardless of who wins in 2028. The answer is generally yes, with a narrow exception: a left-leaning Democratic administration with a climate/clean tech orientation could create some opening, particularly on EVs and solar. National security-framed restrictions on robotics are assessed as more durable.

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